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2027 CYCLE

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CUET UG

Economics

Development Policies and Experience (1947-90)

Official Syllabus · Course III: Indian Economic Development · Class 12 · CUET UG 2027 Cycle Notes

INSIDE
Concept Notes

INSIDE
Solved Examples

INSIDE
Practice MCQs + Solutions

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Economics syllabus 2026, the current 2027 baseline, Course III)	Skills the questions test
Eve of independence and the planning system	A brief introduction of the state of the Indian economy on the eve of independence; Indian economic system and common goals of Five Year Plans	Recalling the inherited economy's condition, the mixed-economy choice, and the four goals of planning.
Sectoral policies 1950-90	Main features, problems and policies of agriculture (institutional aspects and new agricultural strategy), industry (IPR 1956; SSI — role and importance) and foreign trade	Explaining land reforms and the Green Revolution, IPR 1956 with small-scale industry, and import substitution with its costs.
Economic reforms since 1991	Economic reforms since 1991 — features and appraisals of liberalisation, globalisation and privatisation (LPG policy)	Linking the 1991 crisis to the New Economic Policy, listing LPG features, and weighing the appraisal on both sides.

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EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. The Economics paper follows NCERT Class 12 Economics; Indian Economic Development questions are fact-and-date country — plan decades, policy names and the 1991 sequence reward precise recall.

The Eve of Independence: What India Inherited

August 1947: the new government inherited an economy that two centuries of colonial rule had organised for Britain's benefit, not India's. Before building, the planners had to know what they stood on — and the ground was weak on almost every front.

- **Agriculture — stagnant and exploitative:**
  - **Zamindari system:** landlords collected rent without investing a rupee in the land — no incentive, no improvement.
  - **Productivity among the world's lowest**; irrigation and technology nearly absent.
  - **Partition made it worse:** the fertile irrigated west went to Pakistan while India kept the people — foodgrain scarcity began on day one.
- **Industry — de-industrialised:**

- British machine-made goods had destroyed India's handicrafts; India exported raw material and bought finished goods — a colonial trade pattern.
- Only cotton and jute textiles were sizeable — and the jute belt went to Pakistan, leaving Indian mills without raw fibre.
- Public sector nearly empty; ownership concentrated in a few business houses.

- **People — poor and unskilled:** literacy about 16%, life expectancy around 32 years, high birth and death rates; a small, thin industrial workforce.
- **Infrastructure — partial and self-serving:** the one modern gift was the RAILWAY network — but it had been built to move raw materials to ports for Britain, not to knit India's markets together.

The System Chosen and the Goals of Planning

Free India chose a MIXED ECONOMY: the state would command the "commanding heights" (heavy industry, infrastructure, banking) while the private sector coexisted in consumer goods and agriculture. The Planning Commission (1950) would steer everything through Five Year Plans.

Goal of planning	What it meant	How plans pursued it
Growth	Raise the economy's capacity to produce goods and services over time	Bigger public investment, savings mobilisation, five-year targets
Modernisation	Shift technology and society forward — new machines, new sectors, new attitudes	Heavy industry push, technical education, science institutes
Self-reliance	Depend less on imports and foreign aid for essentials	Import substitution, domestic capacity in machinery and food
Equity	Spread the gains to the poorest, not just the averages	Land reforms, small-industry protection, poverty programmes

- **First Plan (1951-56):** agriculture first, built on the Harrod-Domar model of growth — a success; food output and incomes rose.
- **Second Plan (1956-61):** the big TURN — the Mahalanobis model put HEAVY INDUSTRY at the centre (machines that make machines). Long-run capacity over quick consumer goods.
- **The tension the plans lived with:** industry needs food and wages; agriculture needed attention the industry-first plans starved — the 1965-66 droughts exposed it brutally, forcing the Green Revolution.
- **Plan holiday (1966-69):** annual plans between the Third and Fourth Plans — wars, droughts and crisis paused the five-year rhythm.

Agriculture: Land Reforms, the Green Revolution and the Subsidy Debate

With food scarcity choking the economy, policy ran on two tracks: change WHO owns the land (institutional), and change HOW MUCH the land yields (technological).

- **Institutional reforms (the promise):**
  - **Zamindari abolition:** end the rent-collecting intermediaries.
  - **Land ceilings:** cap holdings, redistribute surplus to the landless.
  - **Tenancy reforms:** security and fair rent for tenant farmers.
- **The reality (the problem):** laws were watered down, loopholes flourished (evictions, benami transfers), implementation dragged — land reform delivered only PARTLY. Power remained with the rural elite.
- **The new agricultural strategy — Green Revolution (from 1966):**
  - **The package:** high-yielding variety (HYV) seeds + assured irrigation + chemical fertilisers + pesticides — all together or nothing.
  - **The results:** wheat and rice output surged; India's food imports fell; the famine fear died.
  - **The limits:** it worked FIRST and BEST in Punjab, Haryana and western UP on wheat and rice — dry regions and other crops waited; BIG farmers adopted first, widening gaps.
- **The subsidy debate — both sides, always:**
  - **For:** subsidies on fertiliser, power and irrigation pushed risk-averse farmers to adopt the new technology — equity and adoption.
  - **Against:** benefits leak to big farmers and fertiliser makers, strain the budget, and overuse degrades soil and water tables.
  - **The middle path (the topper's answer):** subsidies were needed to START the revolution; now they need rational, targeted redesign — neither removal nor blind expansion.

Industry: IPR 1956, Small-Scale Industry and the Licence Raj

Industry's charter came from the Industrial Policy Resolution (IPR) 1956 — the "Economic Constitution" of the mixed economy.

IPR 1956 pillar	What it said	Instruments
State at the command post	The public sector must grow and lead — the state takes the "commanding heights" of the economy	Schedule A (exclusive state: 17 industries — railways, steel, mining), Schedule B (state-led with private entry), Schedule C (private, licensed)

IPR 1956 pillar	What it said	Instruments
Industrial expansion	Transform the economy from agricultural to industrial — machines to make machines	Second Plan's Mahalanobis push, public investment in steel plants
Reduce concentration	Stop private monopolies from swallowing the economy	Licensing, small-sector reservation

- **Small-scale industry (SSI) — role and importance:**
  - **Employment:** small units give more jobs per rupee of capital than giant plants — vital in a labour-rich country.
  - **Decentralisation and equality:** industry spreads beyond metros; ownership widens.
  - **Policy support:** products RESERVED for small units (protection from big-firm competition), cheap credit, reserved purchases.
  - **The problem:** staying small means losing SCALE ECONOMIES — low output per unit, weak quality, weak exports. Protection had a price.
- **Industrial licensing — the licence raj:**
  - Every new factory, every expansion, every output increase needed a government LICENCE.
  - **Why it existed:** to steer private capital into plan priorities and stop monopolies.
  - **What it became:** queues and delays, inspector raj, corruption, licences hoarded as entry barriers, NO competition — inefficiency froze into the system. By the 1980s the licence raj had become the reform target.

Foreign Trade: The Inward-Looking Strategy

Pre-1991 India did not chase world markets — it protected the home market. The strategy was IMPORT SUBSTITUTION: make at home what we would otherwise import.

- **The logic:** protect INFANT industries until they grow strong enough to compete; conserve scarce foreign exchange; make the economy self-reliant.
- **The instruments:** TARIFFS (taxes making imports expensive) and QUOTAS (physical ceilings on how much may be imported).
- **The outcome — the problems:**
  - Protected firms faced NO competition → inefficiency, high costs, poor quality, technological lag.
  - Indifference to exports: the home market was guaranteed, so world markets were the afterthought.
  - Imports kept rising (machinery, oil) while exports stagnated → foreign exchange reserves stayed under permanent strain — the pressure that finally exploded in 1991.
- **The reform lesson:** openness forces efficiency; decades of protection left Indian industry unprepared for world competition when 1991 arrived.

1991: The Crisis and the New Economic Policy

By 1991 the inward-looking model ran out of road. A chain of shocks met an economy living beyond its means — and India flew its gold abroad as collateral to avoid default.

- **The crisis triggers:**
  - **Gulf War (1990-91):** oil prices spiked; imports costlier.
  - **Remittances fell:** Indian workers in the Gulf returned home as the war emptied the region.
  - **Reserves nearly empty:** foreign exchange sank to roughly TWO WEEKS of imports — days from default.
  - **Fiscal profligacy:** government deficits and imports had ballooned through the 1980s.
- **The emergency measures:** gold airlifted to the Bank of England as loan collateral; an IMF loan carrying STRUCTURAL CONDITIONS — reform in exchange for rescue.
- **The response: New Economic Policy (NEP) = stabilisation + structural adjustment:**
  - **Stabilisation:** short-run measures to control inflation and the balance of payments (fiscal correction, devaluation of the rupee in 1991).
  - **Structural adjustment:** long-run reforms changing how the economy works — the LPG package.
- **LIBERALISATION — freeing the economy from state controls:**
  - **Delicensing:** most industries freed from the licence raj (only a handful — defence, atomic energy and the like — stayed licensed).
  - **Deregulation:** prices freed; the MRTP Act's capacity restrictions relaxed.
  - **Trade liberalisation:** quantitative restrictions phased down, peak tariffs cut, imports opened.
  - **Financial and forex reform:** market-determined interest rates moved in; the rupee devalued and made convertible for trade.
- **PRIVATISATION — the private sector takes the wheel:**
  - **Disinvestment:** government selling equity of public sector undertakings (PSUs) to the public and institutions.
  - **Fewer reserved sectors:** industries once exclusive to the state opened to private entry.
  - **PSU autonomy:** Memoranda of Understanding and Navratna-style status — autonomy granted so PSUs could compete rather than depend.
- **GLOBALISATION — joining the world economy:**
  - **Openness instruments:** steep tariff cuts, fewer import bans, rupee convertibility for trade.
  - **Capital invited:** FDI caps raised across sectors; FII flows allowed into Indian markets.
  - **Institutional lock-in:** WTO membership (1995) bound India into the open-trading rules.
- **The appraisal — never one-sided:**

- **For:** growth accelerated, foreign reserves rebuilt, competition revived quality, consumers gained choice, services boomed.
- **Against:** growth arrived with too few jobs ("jobless growth" concerns), agriculture lagged the reform party, inequality widened, unprotected small industry faced new giants.
- **The balanced verdict:** reforms fixed efficiency and solvency; the critique demands they reach employment and farming too.

Key Formulas & Rules: One-Stop Revision

DEVELOPMENT POLICIES AND REFORMS — EVERY FACT ON ONE PAGE

Fact	Statement	Exam use
Eve of independence	Stagnant zamindari agriculture, de-industrialisation, 16% literacy, life expectancy 32	Inherited-economy MCQs
One modern gift	Railways — but built for British trade	"what did colonialism leave?" questions
System chosen	Mixed economy; Planning Commission 1950; Five Year Plans	Foundation facts
Four goals	Growth, modernisation, self-reliance, equity	List them in order-safe wording
First Plan 1951-56	Agriculture, Harrod-Domar model — success	Plan-priority matching
Second Plan 1956-61	Heavy industry, Mahalanobis model	The industry turn
Land reforms	Zamindari abolition, ceilings, tenancy — only partly implemented	Institutional-reform evaluation
Green Revolution	From 1966: HYV + irrigation + fertilisers; wheat and rice; Punjab-Haryana-west UP first	Strategy facts + limits
Subsidy debate	Adoption and equity FOR · leakage, fiscal cost, degradation AGAINST	Two-sided answers
IPR 1956	Schedules A/B/C; state at the command post; licence raj begins	Industry-policy questions

Fact	Statement	Exam use
SSI	Employment, decentralisation, reservation — but weak scale economies	Role-and-problem answers
Trade strategy	Import substitution via tariffs and quotas — inefficiency, stagnant exports	Inward-looking evaluation
1991 crisis	Gulf War + falling remittances + 2 weeks of imports; gold collateral; IMF conditions	Crisis-sequence questions
LPG	Liberalisation (delicensing), privatisation (disinvestment), globalisation (tariffs, FDI, WTO)	Feature lists

Common Errors & Special Cases

THE TRAPS THIS UNIT SETS — READ BEFORE THE MOCK

The rule you assume	The twist	The trap in the question
"Eve of independence = no industry"	Railways and cotton/jute mills existed — but backward and foreign-serving	Inherited-economy MCQs
"Green Revolution belongs to the Second Plan"	It began in 1966 — after the Third Plan, during the plan holiday	Date-matching traps
"Mahalanobis built the First Plan"	First Plan = Harrod-Domar (agriculture); Mahalanobis powers the SECOND	Model-plan pairing
"Land reforms succeeded"	They were only PARTLY implemented — loopholes and elite resistance won	Evaluation questions
"Subsidies are simply bad"	They drove adoption; the case is for REDESIGN, not abolition	Two-sided answers

The rule you assume	The twist	The trap in the question
"Import substitution boosted exports"	It did the opposite — home market comfort killed export hunger	Trade-strategy evaluation
"Privatisation = only disinvestment"	Disinvestment is the flagship TOOL; the strategy is wider (deregulation, autonomy, fewer reservations)	LPG-feature precision
"Reforms pleased everyone"	The critique is real: jobless growth, agriculture's neglect, rising inequality	Appraisal answers

The 60-Second Self-Test

Cover the answers, say each one aloud, then check. If any answer takes longer than ten seconds, revisit that section.

- **Which sector led the First Plan and why?** → Agriculture — food scarcity was the binding constraint (Harrod-Domar growth).
- **Name the IPR 1956 schedules.** → A: exclusive to state (17 industries); B: state-led; C: private, licensed.
- **Two merits and one cost of the Green Revolution.** → Output surged, famine fear died; but regional and farmer inequality widened.
- **Why did reserves sink to two weeks of imports?** → Gulf War oil + falling remittances + 1980s deficits and import surge.
- **LPG stands for...?** → Liberalisation, Privatisation, Globalisation — the NEP's structural face.
- **One criticism of 1991 reforms.** → Jobless growth / agriculture neglected / inequality widened — any one, well-worded.

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The Whole Chapter in One Picture

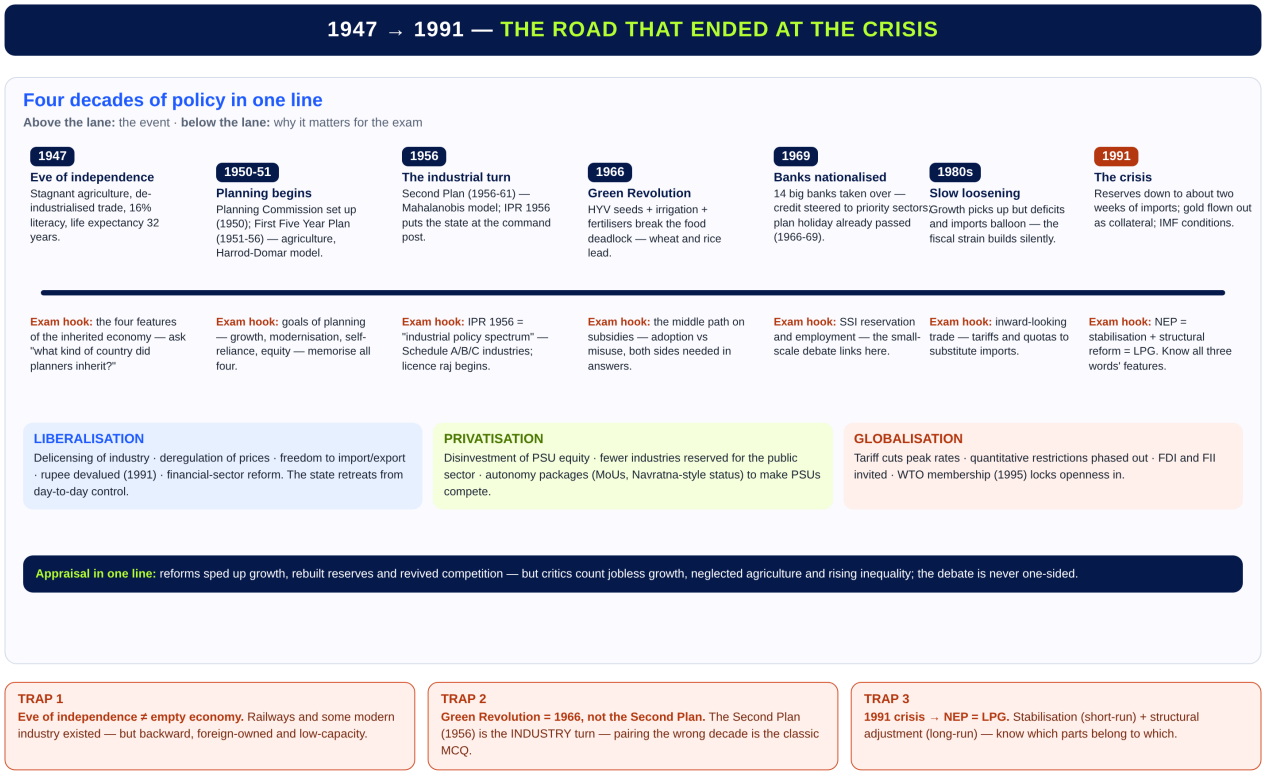


Figure 1: The 1947-91 timeline: from the inherited economy through planning, the Green Revolution and the licence raj to the 1991 crisis, with the LPG response and its appraisal.

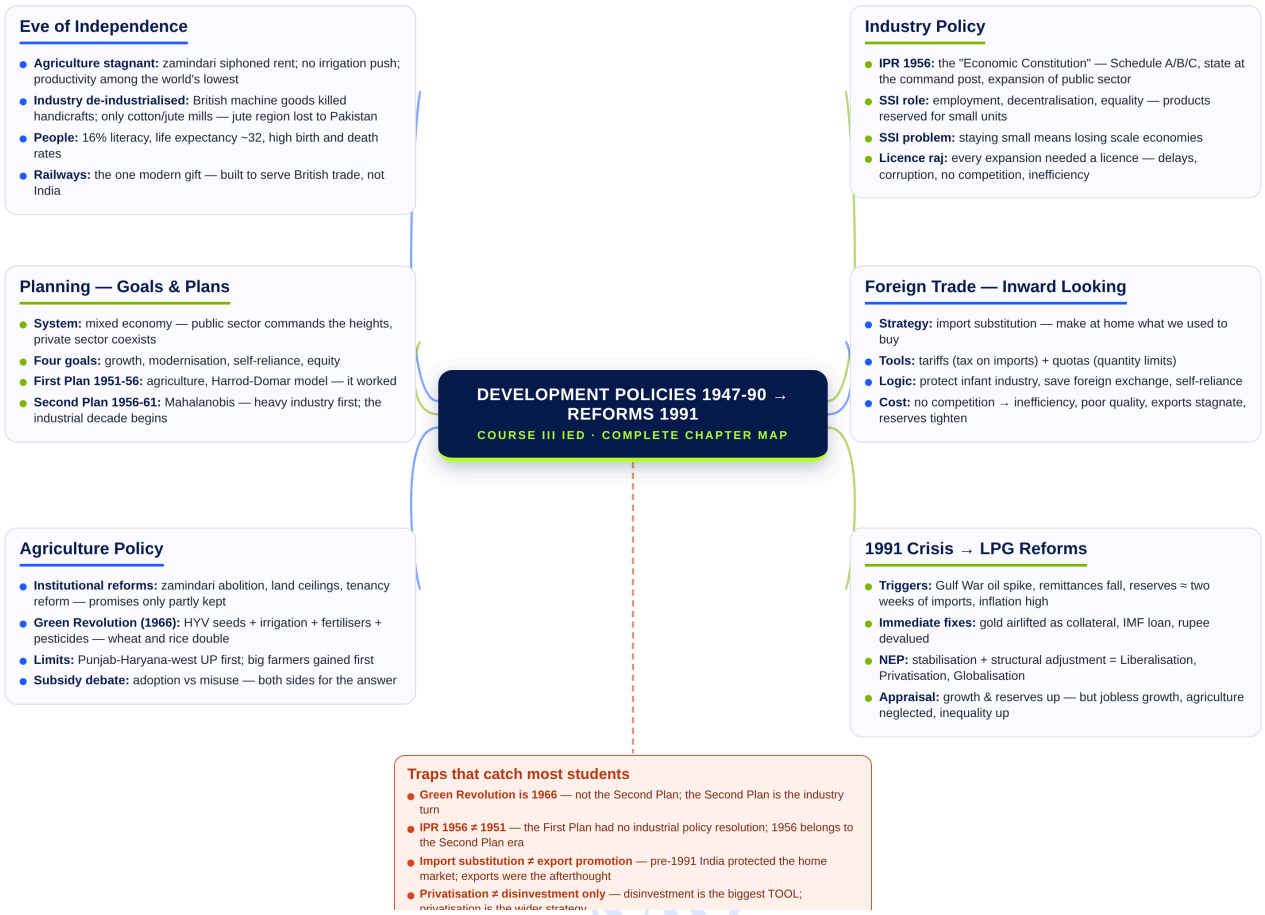


Figure 2: Chapter mindmap: the eve of independence, planning goals, agriculture's three tracks, industry's IPR and licence raj, inward-looking trade, and the 1991 crisis-to-LPG arc — with the traps that catch most students.

Practice Questions (Exam Pattern)

Ten questions in the CUET UG style. Attempt all of them — the paper gives +5 for each correct answer and −1 for every incorrect answer.

Q1. On the eve of independence, India's most developed modern infrastructure was:

(A) electricity grids
(B) the railway network
(C) steel plants
(D) airlines

Q2. The Second Five Year Plan (1956-61) focused on:

(A) agricultural development
(B) rapid industrialisation with heavy industry
(C) export promotion
(D) population control

Q3. The model underlying the Second Five Year Plan was associated with:

(A) Harrod-Domar
(B) Mahalanobis
(C) Keynes
(D) Amartya Sen

Q4. The Industrial Policy Resolution of 1956 classified industries into:

(A) two schedules
(B) three schedules by state role
(C) four priority zones
(D) five-year targets

Q5. The Green Revolution's high-yielding variety technology FIRST spread in:

(A) Kerala and coastal Andhra
(B) Punjab, Haryana and western Uttar Pradesh
(C) Bihar and eastern UP
(D) the entire country uniformly

Q6. Products were RESERVED for the small-scale sector in order to:

(A) raise exports
(B) protect small producers from large-firm competition
(C) reduce employment
(D) encourage monopolies

Q7. The main instruments of India's import-substitution strategy were:

(A) export subsidies and devaluation
(B) tariffs and quotas on imports
(C) WTO membership
(D) disinvestment

Q8. In 1991, India's foreign exchange reserves fell to a level barely enough for:

(A) two years of imports
(B) six months of imports
(C) about two weeks of imports
(D) one day of imports

Q9. Disinvestment of PSU equity is a feature of:

(A) liberalisation
(B) globalisation
(C) privatisation
(D) nationalisation

Q10. A criticism commonly made of the 1991 reforms is:

(A) growth became jobless in several sectors while agriculture lagged
(B) exports collapsed permanently
(C) the rupee appreciated too fast
(D) reserves fell after 1991

Detailed Solutions

Each solution shows the working, not just the verdict — cover the answer line, attempt the reasoning, then compare.

Sol. Q1. British rule left the railways as the one modern network — though built to evacuate raw materials to ports. Electricity, steel and aviation were embryonic.

Answer: (B)

Sol. Q2. The Mahalanobis strategy put HEAVY industry at the centre: machines to make machines, long-run capacity over quick consumption. Agriculture led the FIRST plan, not the second.

Answer: (B)

Sol. Q3. PC Mahalanobis designed the Second Plan's two-sector model prioritising capital goods. Harrod-Domar guided the First Plan's growth arithmetic.

Answer: (B)

Sol. Q4. IPR 1956 sorted industries into Schedule A (state monopoly, 17 industries), Schedule B (state-led with private supplement) and Schedule C (private under licence) — the mixed economy's industrial map.

Answer: (B)

Sol. Q5. HYV technology needed assured irrigation — so it bloomed first in Punjab, Haryana and western UP, mainly on wheat and rice. Dry regions and other crops waited years.

Answer: (B)

Sol. Q6. Reservation shielded small units from deep-pocketed competition to protect their employment and decentralisation benefits — though it also froze scale economies.

Answer: (B)

Sol. Q7. Import substitution worked through TARIFFS (price barrier) and QUOTAS (quantity barrier) — making imports costly or impossible so home industry could substitute them.

Answer: (B)

Sol. Q8. By mid-1991 reserves covered roughly two weeks of imports — the cliff-edge figure that forced gold collateral, the IMF loan and the reforms.

Answer: (C)

Sol. Q9. Disinvestment — the government selling PSU equity — is privatisation's flagship instrument. Liberalisation means decontrol; globalisation means opening to the world.

Answer: (C)

Sol. Q10. The standard critique: growth accelerated without matching employment, agriculture missed the reform wave, and inequality widened — the balanced-appraisal answer.

Answer: (A)

Wrong-Answer Clinic — the one-line corrections

Dropped marks above? Find your slip here and rewrite the corrected rule in your own words.

If you answered...	Your slip was...	The corrected rule, in one line
Q1 option A	Projecting today's grid backwards	In 1947 the only modern network was the RAILWAYS — built for British trade, not India's
Q3 option A	Swapping the two models	Harrod-Domar → First Plan (agriculture); Mahalanobis → Second Plan (heavy industry)
Q5 option D	Assuming uniform spread	The HYV package needed irrigation — it spread unevenly, starting Punjab-Haryana-west UP
Q7 option A	Mixing pre- and post-1991 tools	Pre-1991 = tariffs and quotas (import substitution); devaluation and export pushes belong to the reform era
Q9 option A	Blurring the LPG labels	Disinvestment = privatisation's tool; delicensing = liberalisation; tariff cuts = globalisation
Q10 option B	Overstating the critique	Exports and reserves RECOVERED after 1991 — the critique is jobs, agriculture and inequality

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